

US TAX SEASON 2025

PRACTITIONER FAQ REFERENCE

Comprehensive Answers to Complex Cross – Border & Domestic Tax Issues

Topics: Indian Mutual Funds (PFICs) • Dual Residency • FBAR/FATCA • Multi-State Tax Green Card Reporting • Treaty & Form 8833 • Digital Assets • OBBBA New Deductions

Tax Year 2025 | Filed 2026

This reference document addresses the twelve most frequently encountered and technically complex US tax issues during the 2025 filing season (returns filed in 2026). It is designed for practitioners, CPA firms, and in-house tax professionals advising clients with cross-border connections — particularly Indian-origin US residents, new green card holders, and inbound professionals. Each FAQ is structured with (1) Background context, (2) The Problem/Issue, and (3) Answer/Analysis, with statutory references for authoritative support.

TOPIC 01

Indian Mutual Funds – US Tax Treatment

Q1

My client holds Indian mutual funds. How are these classified and taxed in the US?

Background

Indian mutual funds do not qualify as Regulated Investment Companies (RICs) under US law. Under IRC §1297, any foreign corporation (or entity treated as a corporation) earning 75% or more of gross income from passive sources, or holding 50% or more of its assets to produce passive income, is a Passive Foreign Investment Company (PFIC). Indian mutual funds satisfy both tests and are PFICs by definition.

The Problem

US residents holding PFICs face three possible tax regimes. Failing to make a timely election, or choosing the wrong regime, can result in taxes at ordinary rates plus interest charges reaching back to the acquisition date — effectively a punitive tax on long-term appreciation.

Answer: Three Regimes

Default Regime (IRC §1291): Tax plus interest on 'excess distributions' and gains, allocated ratably across the holding period. The deferred interest charge can push the effective rate well above 37%. This regime applies automatically if no election is made. **Mark-to-Market (MTM) — IRC §1296:** Annual inclusion of unrealized appreciation as ordinary income. Losses are limited to prior 'unreversed inclusions.' Gain/loss on actual sale = sale price minus the last MTM basis. Election made on Form 8621.

QEF — IRC §1295: Annual inclusion of the PFIC's undistributed earnings and capital gains. Rarely available for Indian funds — fund managers do not issue the required PFIC Annual Information Statement.

Default vs. MTM — Comparison

Feature	Income	Default (§1291)	Ordinary income +	Mark-to-Market (§1296)	Ordinary
character		deferred interest charge		income (gain) / ordinary loss (limited)	
When taxed		On distributions or dispositions		Annually — even if shares not sold	
Pre-residency gains		Taxed from acquisition date (full-year residency election)		Only from Jan 1 (full-year) or arrival date (dual-status)	
Tax rate risk		Can exceed 37% with interest charge		Capped at 37% ordinary rate	
Form required		Form 8621 Part III		Form 8621 Part IV — timely election required	
Losses		Only excess distribution offset		Ordinary loss — limited to unreversed inclusions	



Practitioner Tip

MTM is generally preferred for Indian mutual funds because it eliminates the punitive interest charge under §1291. The election must be made on the first Form 8621 filed for the year the client becomes a US person. For first-year dual-status filers, MTM basis is set at the greater of cost or FMV on the date of US residency commencement — protecting all pre-residency appreciation from US tax.

TOPIC 02

Foreign Tax Credit for PFIC Sales

Timing Mismatch: US Unrealized vs. India Realized Taxation

Q2

Client pays Indian capital gains tax when they redeem mutual funds. Can they use Foreign Tax Credit (FTC) against the US MTM tax already paid in prior years?

Background

Under the MTM regime, the US taxes unrealized PFIC gains annually as ordinary income — even though no sale has occurred. India taxes mutual fund gains only on actual redemption/sale. This creates a structural timing mismatch between when the US imposes tax and when India imposes tax on the same economic gain.

The Problem

IRC §901 allows an FTC only for foreign taxes paid on income that is also included in US taxable income in the same year. If the US taxed a gain in Year 1 under MTM (no Indian tax that year), and India taxes



the same gain in Year 2 (on sale), there is no same-year correspondence — the US will not permit a carryforward of the FTC for the Year 1 mismatch.

Answer

Year	US MTM Tax Event MTM gain of	India Tax Event No Indian	FTC Available? No FTC — no
Year 1	\$5,000 — ordinary income in US	tax (fund not sold)	corresponding Indian tax in Year 1
Year 2	MTM gain of \$5,000 on remaining appreciation	India taxes \$10,000 on actual sale	Partial FTC only for the \$5,000 US-taxed in Year 2; no credit for Year 1 gap

Planning Strategies

- Time redemptions so the Indian tax payment year aligns with the US MTM gain year — eliminates the timing mismatch
- Document and file Form 1116 (General Limitation basket — PFIC ordinary income treated as General category)
- Consider liquidating PFIC positions before establishing US residency to avoid future MTM obligations entirely
- US-India DTAA Article 25 (Non-Discrimination) does not resolve PFIC MTM timing mismatches — no treaty override available

Double Taxation Risk

A genuine double taxation risk exists when pre-residency PFIC appreciation is included under the full-year residency election's MTM computation, while India taxes the same appreciation in a subsequent sale year. Comprehensive multi-year tax modeling is essential before recommending the full-year residency election for clients with large, appreciated Indian mutual fund portfolios.

TOPIC 03

FBAR & Form 8938 — Foreign Account Reporting

Q3

Who must file FBAR and Form 8938? How do these rules apply to dual-status residents and NRAs with Indian bank and mutual fund accounts?

Background

Two parallel foreign account disclosure regimes exist under US law. FBAR (FinCEN Form 114) is administered under the Bank Secrecy Act; Form 8938 (FATCA) is an IRS information return under IRC §6038D. They have different covered persons, asset definitions, thresholds, and penalties.

FBAR vs. Form 8938 – Head-to-Head

Feature Law	FBAR (FinCEN114) Bank Secrecy Act	Form 8938 (FATCA) IRC §6038D
Who must file	(31 USC §5314)	Specified individuals: US persons including SPT residents
	US persons: citizens, green card holders, SPT residents	Specified foreign financial assets (broader — includes equity/partnership interests)
What is covered	Foreign financial accounts (bank, brokerage, MF)	\$100,000 year-end OR \$150,000 at any point
Threshold (MFJ in US)	\$10,000 aggregate at any time during year	Yes — specified foreign financial asset
Indian mutual funds?	Yes — foreign financial account	Form 8938 attached to Form 1040/1040-NR
Filing form	FinCEN 114 (BSA e-filing system)	Same as return due date
Due date	April 15 (auto-extended to Oct 15)	\$10,000 per form + \$50,000 continuation penalty
Penalties	\$10,000/violation (non-willful); \$100,000+ for willful	

Dual-Status Resident – FBAR/FATCA Rules

- Dual-status filers are US persons only for the post-arrival period; foreign accounts held exclusively during the NRA period are not reportable
- The \$10,000 FBAR threshold is assessed only against accounts held during the US person period
- NRAs who never meet SPT and do not hold a green card are NOT required to file FBAR or Form 8938 — regardless of US-source income earned
- Green card holders are US persons for FBAR purposes for the entire calendar year, every year — regardless of days physically present

Common Pitfalls

- IndianNRE/NRO accounts, PPF (if qualifying as a financial account), and mutual fund demat accounts all count toward the FBAR aggregate threshold
- 'Financial interest' includes signatory authority over a business account — corporate or partnership accounts must be analyzed
- Spouses filing MFJ may file a joint FBAR only if both are US persons — otherwise, each files separately

TOPIC 04

Dual-Status vs. Full-Year Residency Election

Q4

What is dual-status residency, and when should a client elect full-year US resident status under IRC §6013(h) instead?

Background

A person who becomes a US tax resident mid-year is a dual-status alien: an NRA for the pre-arrival period, and a US resident for the post-arrival period. Alternatively, if married to a US citizen or resident, the couple may elect under IRC §6013(h) to be treated as full-year residents, filing Married Filing Jointly and including worldwide income for the entire year.

Full Comparison

Feature	Indian income — pre-residency	Full-Year Residency (§6013(h))	Dual-Status Resident
Indian income — pre-residency	Taxed in US	NOT taxed in US	
Indian income — post-residency	Taxed in US	Taxed in US	
Filing status	Married Filing Jointly (MFJ)	MFJ not available; MFS or single	
Standard deduction (2025)	\$29,200 (MFJ)	NOT available — itemized only	
PFIC MTM basis	Greater of cost or FMV at Jan 1	Greater of cost or FMV at arrival date	
Pre-residency PFIC gains (MTM)	Taxed from Jan 1	NOT taxed in US	
Foreign Tax Credit	On all foreign income in US return	Only on post-residency foreign income	
FBAR / Form 8938 scope	Full calendar year	Post-residency period only	
Election mechanics	Check box on Form 1040; attach signed statement by both spouses	No election needed — default rule	

When Full-Year Residency Is Typically Beneficial

- Client arrives late in the year (e.g., October–December) — pre-residency Indian income is minimal
Indian taxes paid pre-arrival are sufficient to offset US tax via FTC — no double tax exposure
- Standard deduction + MFJ rates produce substantially lower total tax than itemized-only dual-status approach
- Mutual fund portfolio has modest unrealized appreciation — MTM exposure from Jan 1 basis is manageable

When Dual-Status Is Typically Beneficial

- Client has large pre-residency Indian salary, rental income, ESOP income, or annual bonus
- Client holds highly appreciated Indian mutual funds — dual-status protects pre-residency gains entirely
- Client arrives early in the year (January–April) — most income is pre-residency
Pre-residency income is so large that the FTC will not fully offset the resulting US tax under full-year residency

Critical Rule

A dual-status alien CANNOT file Married Filing Jointly and CANNOT claim the standard deduction (IRC §63(c)(6)(B)). The loss of the \$29,200 MFJ standard deduction (2025) is one of the most significant practical drawbacks of dual-status filing for clients with limited itemized deductions. Model this

quantitatively for every year-of-arrival client before recommending a filing approach.

TOPIC 05

Tax Treaty Positions & Form 8833

Q5

How does a client properly claim a treaty exemption on Form 8833? And does claiming treaty non-residency jeopardize a pending or existing green card?

Background

The US-India DTAA (and other US tax treaties) can reduce or eliminate US withholding tax on specific income types. Treaty tiebreaker provisions (Article 4) can cause a dual resident — someone who would otherwise be taxable in both countries — to be treated as a resident of only one country for treaty purposes.

Form 8833 —Disclosure Requirements

- Required whenever a taxpayer claims a treaty-based return position that reduces or modifies US tax liability — IRC §6114
- Must be filed with the annual return (Form 1040, 1040-NR, or 1120-F)
- Failure to file when required: \$1,000 penalty per failure under §6712 (waived with reasonable cause)
- Must disclose: treaty country, article number, US Code provision overridden, and estimated US tax reduction

Common Treaty Positions Requiring Form 8833

Treaty Article (India DTAA)	Income Type	US Tax Benefit
Article 11	Interest income	Reduced withholding rate (15% vs. 30% default)
Article 12	Royalties	Reduced withholding rate
Article 10	Dividends	Reduced withholding rate
Article 4 (Tiebreaker)	Any income — dual resident situation	Treated as non-resident of US for all tax purposes
Article 21 (Students/Researchers)	Scholarship, stipend, research grants	Exemption from US tax for limited period

Immigration Risk — The Critical Issue for Green Card Holders

Claiming an Article 4 treaty tiebreaker position to be treated as a non-resident of the US for tax purposes — while simultaneously holding a green card or having an immigration application pending — creates a serious conflict between tax law and immigration law.

- INA §316(b): A lawful permanent resident who claims to be a non-resident for tax purposes may be found to have abandoned their green card. Immigration courts have treated treaty non- residency elections as evidence of intent to abandon permanent residence
 - Filing Form 1040-NR (instead of Form 1040) while holding a green card is a particularly strong signal of abandonment
 - The IRS generally does not share return data with USCIS — but the treaty position can surface during naturalization background reviews or at ports of entry
 - Safer alternative: explore whether a Foreign Tax Credit fully eliminates the double taxation without requiring a treaty non-residency election
- If the client genuinely intends to relinquish the green card, consult an immigration attorney and follow proper USCIS relinquishment procedures separately

Green Card Warning

Advise clients that claiming treaty non-resident status under Article 4 (Form 8833 + Form 1040-NR) while holding or applying for a green card may constitute affirmative evidence of green card abandonment before USCIS. This decision requires coordination with an immigration attorney and should not be made on tax grounds alone.

TOPIC 06

Multi-State Taxation

Residency State vs. Work State in a Hybrid Work Environment

Q6

Client lives in New Jersey but works in New York with a hybrid schedule (3 days in NY office, 2 days remote from NJ). How is their income taxed by each state?

Background

When a taxpayer lives in one state and works in another, both states may assert taxing jurisdiction: the domicile/residency state taxes all worldwide income, and the non-resident work state taxes income sourced to it. Resident credits prevent full double taxation, but the mechanics — and New York's Convenience of the Employer (COE) rule — create significant complexity.

New York Convenience of the Employer Rule

New York taxes all wages earned by non-residents working for NY-based employers as New York-source income unless the employee works remotely because the employer specifically requires it (not merely permits or allows it). If remote days are at the employee's own convenience, they count as NY workdays.

Scenario Employer mandates	NY Source Income Only actual	NJ Tax Treatment NJ taxes all
remote work (written policy documenting requirement)	NY office days (e.g., 60% of wages)	income as resident; credit for NY tax on 60%
Remote work at employee's convenience (COE applies)	100% of wages treated as NY-source	NJ taxes all income as resident; credit for NY tax on 100%

Scenario Fully remote — no	NY Source Income	NJ Tax Treatment NJ taxes all
NY duties required by employer	0% NY-source	income; no NY return required

Filing Obligations

- New Jersey resident: Form NJ-1040 — worldwide income New York non-resident: Form IT-203 — New York-source income only NJ Schedule A: Credit for taxes paid to NY — capped at the lesser of (a) NJ tax on NY-source income or (b) actual NY tax paid
- Under full COE, even 'NJ days' are 100% NY-sourced — NJ credit effectively offsets NJ tax only if NY's effective rate exceeds NJ's at the same income level

Documentation is Critical

- Maintain a contemporaneous workday log (calendar, badge swipes, meeting records)
- Obtain employer's written remote work policy — this is the threshold evidence to rebut COE
- States with similar COE-style rules: Arkansas, Delaware, Nebraska, Pennsylvania
- Connecticut repealed its COE rule effective 2023 — CT residents with NY employers now apportion by actual CT workdays

TOPIC 07

Green Card Holder — Foreign Entity Reporting

Q7

Client is a US green card holder with a stake in an Indian private limited company and an Indian LLP. What information returns are required?

Background

Green card holders are US persons for all federal tax purposes — including information return obligations for foreign corporations, partnerships, and PFICs. The penalties for non-filing are severe (generally \$10,000 per form per year) and apply regardless of whether any tax is owed. Additionally, omitting these forms suspends the statute of limitations for the entire tax return.

Form	Who Files	Threshold / Trigger	Penalty (Per Year)
Form 5471	US person with interest in foreign corporation	10%+ of vote or value; or officer/director of FC with any US 10% shareholder	\$10,000 initial; \$50,000 continuation
Form 8865	US person with interest in foreign partnership	10%+ capital or profits; or certain contributions of property	\$10,000 initial; continuation penalties
Form 8621	US person holding PFIC shares	Any PFIC, any amount	\$10,000 if MTM election in effect and form not filed
Form 8938	US person with foreign	>\$50,000 (single/MFS);	\$10,000 initial; \$50,000

Form	Who Files financial	Threshold / Trigger	Penalty (Per Year) continuation
FBAR	assets	\$100,000 (MFJ) at year-end	\$10,000+ non-willful; \$100,000+ willful per violation
FinCEN 114	US person with foreign financial accounts	>\$10,000 aggregate at any time	

Indian Pvt. Ltd. — Form 5471

- An Indian Private Limited Company is a foreign corporation for US tax purposes
- If green card holder owns 10%+: Category 4 (or 5 for CFCs) filer — Form 5471 with all required schedules
- If the company is a CFC (>50% owned by US persons each owning 10%+): Subpart F income (IRC §951) and GILTI (IRC §951A) inclusions may arise, creating US taxable income even without a distribution

Indian LLP — Form 8865

- Indian LLPs are generally treated as partnerships for US tax purposes (absent a check-the-box election to treat as a corporation)
 - US partners owning 10%+ must file Form 8865 — Category 1-4 based on ownership level and transaction type
- Property contributions to a foreign partnership must be reported on Form 8865 Schedule P

Critical Practice Point

The statute of limitations for the entire Form 1040 does not begin to run until Form 5471 or Form 8865 is filed. An omitted information return gives the IRS unlimited time to audit every income item on the return — not just the foreign entity. File these forms even if no tax is owed and even if the foreign entity has zero income.

TOPIC 08

Green Card in Subsequent Year

Does 2026 Green Card Approval Change 2025 Residency Status?

Q8

Client arrived in 2025 on an H-1B visa and expects to receive a green card in 2026. Does the 2026 approval retroactively change their 2025 residency status?

Answer

No. Under IRC §7701(b), US tax residency is determined each calendar year independently. The green card (Lawful Permanent Resident) test applies to the year the green card is granted — it is not retroactive to any prior year.

How 2025 Residency Is Determined

- Substantial Presence Test (SPT): If the client was present in the US for 183 or more days in 2025, they are a US tax resident for 2025 regardless of visa type. SPT formula: days in current year + $(1/3 \times \text{days in prior year}) + (1/6 \times \text{days two years prior}) \geq 183$
- If SPT is met: client files Form 1040 as a US resident for 2025 (or dual-status if arrived mid-year)
- If SPT is not met: client files Form 1040-NR for 2025 as an NRA; the green card granted in 2026 makes them a US resident from the grant date in 2026

First Year Choice – IRC §7701(b)(4)

- An individual who does not meet SPT in Year 1 but meets SPT in Year 2 may elect to be treated as a US resident from an earlier date in Year 1
- Requirements: present in Year 1 for at least 31 consecutive days; present for 75% of days from the chosen start date through December 31 of Year 1
- This election is separate from (and should not be confused with) the §6013(h) full-year residency election for married couples
- First Year Choice is irrevocable once made and must be attached as a statement to the return

TOPIC 09

Consultancy Fees Paid to Non-Residents

Q9

A US corporation pays consulting fees to an Indian citizen who performs services partly in the US and partly in India. What are the company's withholding obligations, and what does the consultant need to file?

Background

When a US entity pays a non-resident alien (NRA) for services, the tax obligations depend entirely on where the services are performed (IRC §§861-862 sourcing) and how the income is classified (Effectively Connected Income vs. FDAP). The wrong classification leads to either under-withholding (exposing the company to liability) or over-withholding (creating refund complexity for the recipient).

Income Sourcing – The Foundation

- Services performed within the US: US-source income – taxable to NRA
- Services performed outside the US: Foreign-source income – generally NOT subject to US tax
- Allocation method: days in US performing services ÷ total days performing services (or other reasonable basis)

Situation US-source	Payor Obtains	Withholding 0%	US Reporting Form Form 1042-S
services — NRA performs services physically in US (ECI)	Form W-8 ECI	— NRA self-reports on Form 1040-NR	(Exemption Code 16)

Situation US-source	Payor Obtains	Withholding 30%	US Reporting Form Form
— FDAP (not ECI, e.g., no fixed US office)	Form W-8BEN	default (or treaty rate)	1042 + Form 1042-S
Treaty-reduced rate claimed	Form W-8BEN + Form 8233	Per treaty (e.g., 0% or 15%)	Form 1042-S with treaty article cited
Foreign-source — services performed entirely in India	Not required	None	No US reporting required

Recipient's Filing Obligations

- ECI (services in US): must file Form 1040-NR; reports income at graduated rates; may deduct related business expenses
- FDAP withholding applied: file Form 1040-NR to claim refund if over-withheld or report additional tax if under-withheld
- Pure foreign-source income: no US filing obligation unless the NRA has other US-source income

Common Error

- Many US companies issue Form 1099-NEC to NRA consultants — this is incorrect. Form 1099-NEC is for US persons only. For NRA payees, the correct reporting form is Form 1042-S. Issuing 1099-NEC signals to the IRS that required NRA withholding was not applied, exposing the company to withholding agent liability
- Form 1042 (annual summary) must be filed by the US withholding agent by March 15, with 1042-S copies to recipients by March 15 as well

TOPIC 10

Reporting Digital Assets on Form 1040

Q10

Client received a Form 1099-DA from their crypto exchange in 2025. How are digital asset transactions reported on Form 1040 — Schedule D, Schedule C, or elsewhere?

Background

The IRS treats digital assets (cryptocurrency, NFTs, stable coins, and other blockchain-based assets) as property under Notice 2014-21. The Infrastructure Investment and Jobs Act (2021) expanded broker information reporting for digital assets, and Form 1099-DA debuted for tax year 2025, replacing broker-provided 1099-B for digital asset transactions.

Characterization Drives the Schedule

Transaction Type	How Characterized	Where Reported Form
Sale/exchange of crypto – investor/trader	Capital gain or loss (short- or long-term)	8949 → Schedule D
Crypto received as employee wages	Ordinary income	W-2 wages line (employer reports)
Crypto received for freelance/SE services	Self-employment income	Schedule C → Schedule SE
Mining income – business activity	Self-employment income	Schedule C → Schedule SE
Mining income – hobby level	Other income	Schedule 1, Line 8z
Staking rewards and airdrops	Ordinary income at FMV on date received	Schedule 1 or Schedule C
NFT sale by collector	Capital gain (collectible – 28% max rate)	Form 8949 → Schedule D

Form 8949 – The Required Reconciliation Step

- All capital asset dispositions must be itemised on Form 8949 before flowing to Schedule D
- Covered transactions (basis reported to IRS): Box A (short-term) or Box D (long-term) Uncovered transactions (no basis reported – common for pre-2023 crypto): Box B (short-term) or Box E (long-term)
- Wash sale rule: The IRS has not yet officially extended the wash sale rules to crypto, but legislation is pending – practitioners should monitor and advise clients accordingly

The Mandatory Disclosure Question (Form 1040 Page 1)

Every Form 1040 since 2019 includes the question: 'At any time during 2025, did you receive, sell, exchange, or otherwise dispose of any digital assets?' This question must be answered truthfully. Answering 'No' when the client had digital asset activity is a false statement under penalty of perjury, regardless of whether tax is owed.

Basis Tracking Challenge

The most common digital asset reporting problem is missing or inaccurate cost basis – especially for clients who transferred tokens between wallets, used DeFi protocols, or operated across multiple exchanges. Basis must be reconstructed using complete transaction histories from all platforms. Clients may use FIFO (IRS default), HIFO, or specific identification – but the method must be applied consistently and documented.

TOPIC 11

New Deductions Under the One Big Beautiful Bill Act

Q11

What new deductions and changes did the OBBBA (P.L. 119-21) introduce for 2025, and how are they applied in practice?

Background

The One Big Beautiful Bill Act (P.L. 119-21, enacted 2025) introduced several new individual and corporate tax provisions effective primarily for the 2025 and 2026 tax years. These changes require immediate attention in 2025 return preparation. Note: California explicitly does not conform to most OBBBA provisions — dual state/federal computations are required for CA filers.

A. No Tax on Tips — IRC §224

- Qualifying cash tips received by employees in traditionally tipped occupations are deductible from gross income as an above-the-line deduction
- Available to individuals whose AGI does not exceed the applicable threshold (verify final 2025 amount)
- Applies only to cash tips reported on W-2; does not include employer-paid service charges (which remain ordinary income)
- Reported on Schedule 1-A; employer must identify tip income on W-2
- California non-conformity: Tip income remains fully taxable in California

B. No Tax on Overtime — IRC §225

- New above-the-line deduction for overtime pay received by eligible hourly, non-exempt employees under FLSA definitions
- Only the overtime premium (the 'half-time' additional rate above the regular rate) is deductible — not the entire overtime paycheck
- Subject to same AGI phase-out threshold as tip deduction
- Reported on Schedule 1-A; employer must separately identify overtime premium pay (W-2 Box 14 or separate employer statement)
- California non-conformity: Overtime remains fully taxable in California

C. Electric Vehicle Auto Loan Interest

- New above-the-line deduction for interest paid on loans used to purchase new qualifying US-assembled electric vehicles
- Subject to income phase-outs and vehicle price caps — verify finalized thresholds
- Reported on Schedule 1-A
- Distinct from the IRC §30D Clean Vehicle Credit — both may potentially apply to the same vehicle purchase
- California non-conformity: CA does not conform to this federal deduction

D. 100% Bonus Depreciation — IRC §168(k)

- OBBBA permanently restores 100% first-year bonus depreciation for qualified property placed in service after January 20, 2025
- Applies to both new and used qualifying property (must be original-use to the taxpayer or acquired from an unrelated party)
- Eligible: 5-, 7-, 10-, 15-year MACRS property; qualified improvement property (QIP); certain film and production property

- Listed property (vehicles, computers with personal use) remains subject to annual luxury auto limits
- California non-conformity: California limits bonus depreciation to 0% – CA depreciation must be computed separately under regular MACRS

E. Section 174A – Domestic R&E Expenditures

Provision Domestic	Prior §174 (2022-2024)	New §174A (2025+) Full current-year
R&E treatment	Mandatory 60-month amortisation	deduction is DEFAULT
Foreign R&E treatment	Mandatory 15-year amortisation	15-year amortization continues unchanged
Election to amortize domestic	N/A (mandatory by statute)	Affirmative election required – attach statement to return
Software development	5-year amortization under §174	Domestic software: deductible; Foreign: 15-year
Applicable tax years	Years beginning after 12/31/2021	Years beginning after 12/31/2024 (i.e., 2025+)

OBBBA Summary Reference Table

OBBBA Provision No Tax on	IRC Section	Effective Date Tax	CA Conformity No
Tips	§224	year 2025	No
No Tax on Overtime	§225	Tax year 2025	No (CA uses MACRS)
100% Bonus Depreciation	§168(k)	Post-Jan 20, 2025	Pending CA guidance
Domestic R&E Full Deduction	§174A	Tax years after 12/31/2024	
EV Auto Loan Interest Deduction	New section	Tax year 2025	No
SALT Cap Increase (\$40,000)	§164	2026 (verify 2025)	N/A
Increased Dependent Care FSA	§129	Tax year 2026	No (CA capped at \$5,000)
Charitable Deduction for Non-Itemizers	§170	Tax year 2026 (\$1,000/\$2,000)	Pending CA guidance

Multistate Practitioners

California explicitly decouples from the tip/overtime deductions, bonus depreciation, and several OBBBA benefits provisions. A separate California income computation is required for CA filers – this means two depreciation schedules, two benefit calculations, and potentially two different tax liability figures. Other states with rolling conformity will generally follow federal changes, but verify each state's conformity posture before filing.

TOPIC 12

ESOP Taxation – NSOs vs. ISOs

Q12

What is the difference between NSOs and ISOs, how is each taxed, and how does the tax treatment change when services are rendered across multiple countries and when the employee becomes a US resident in a subsequent year?

A. Overview—NSOs vs. ISOs: Fundamental Distinction

Employer stock options come in two forms under US tax law. Non-Qualified Stock Options (NSOs) follow ordinary compensation income rules under IRC §83. Incentive Stock Options (ISOs) are a statutory benefit under IRC §422 that, when qualifying conditions are met, defer all regular income tax to the sale of stock and convert the gain to long-term capital gain treatment. The distinction has profound implications for mobile employees working across jurisdictions.

Feature IRC	NSO (Non-Qualified Stock Option)	ISO (Incentive Stock Option) §422
Authority	§83(a) — property received for services	statutory employee stock option
Eligible recipients	Employees, directors, consultants, contractors	Employees only (must be employed at grant)
Tax at grant	None (if no readily ascertainable FMV)	None
Tax at vesting	None (generally)	None
Tax at exercise	YES — ordinary income (W-2) on the spread	No regular income tax — but spread is an AMT preference item
Tax at qualifying sale	LTCG on post-exercise appreciation only	100% LTCG on entire gain (sale price - exercise price)
Tax at disqualifying sale	N/A — ordinary income already recognized at exercise	Ordinary income on spread; LTCG or STCG on excess
AMT impact	None	ISO spread added to AMTI — may trigger significant AMT at exercise
Employer deduction	\$162 deduction when employee recognizes income	No employer deduction on qualifying disposition
\$100K annual limit	None	ISOs exercisable first time in any year limited to \$100K FMV at grant; excess becomes NSO
Transfer restriction	Generally not transferable (except by will)	Not transferable; must exercise within 90 days of termination

B. NSO Tax Events — Step by Step

Grant: No taxable event. The option itself lacks a readily ascertainable FMV in most private company scenarios — IRC §83 does not apply.

Vesting: No tax consequence. Vesting establishes the right to exercise; it does not transfer property to the employee under IRC §83.

Exercise (Primary Tax Event): Ordinary income = FMV at exercise minus exercise price, times shares exercised. This is wages — reported on W-2 (Box 1, Box 12 Code V), subject to income tax withholding, Social Security, and Medicare.

Sale of Stock: Capital gain or loss = Sale price minus FMV at exercise (which becomes the new stock cost basis). Short-term if sold within 12 months of exercise; long-term if held more than 12 months.

NSO Event	Taxable?	Income Character	Rate	Reporting Form
Grant	No	None	None	None
Vesting	No (generally)	None	None	None
Exercise	Yes	Ordinary income — wages	Up to 37%	W-2 Box 1 / Box 12 Code V
Sale < 12 months post-exercise	Yes	Short-term capital gain	Ordinary rates	Form 8949 → Schedule D
Sale > 12 months post-exercise	Yes	Long-term capital gain	0% / 15% / 20%	Form 8949 → Schedule D

C. ISO Tax Events — Step by Step

Grant through Vesting: No tax at any stage — one of the key advantages of ISO treatment over NSOs.

Exercise — Regular Tax: No regular income tax. However, the spread (FMV at exercise minus exercise price) is an Alternative Minimum Tax (AMT) preference item added to AMTI on Form 6251. If the resulting AMT exceeds regular tax, the employee owes AMT — the 'ISO AMT trap' where tax is due with no actual cash received.

Qualifying Disposition (holding periods met): Requires holding the stock for more than 2 years from grant AND more than 1 year from exercise. Entire gain (sale price minus exercise price) is long-term capital gain. No ordinary income at any point. Prior AMT paid on the spread generates an AMT credit carryforward (Form 8801).

Disqualifying Disposition (holding periods not met): The spread at exercise becomes ordinary income (W-2 in the year of sale); any additional appreciation above FMV at exercise is capital gain (short- or long-term). The employer gets an IRC §162 deduction equal to the ordinary income recognized.

ISO Event	Regular Tax	AMT Treatment	Holding Required	Period
Grant	None	None	N/A	
Vesting	None	None	N/A	
Exercise	None	Spread = AMT preference item — Form 6251	Clock starts for 1-year hold from here	
Qualifying Disposition	LTCG on full gain (sale - exercise price)	AMT credit carryforward available (Form 8801)	2 yrs from grant AND 1 yr from exercise	
Disqualifying Disposition	Ordinary income = spread; LTCG/STCG on excess	Prior AMT may partially offset via credit	Either period not met	

D. Cross-Border Sourcing — Grant-to-Vest Allocation Method

This is the most technically complex aspect of ESOP taxation for mobile employees. The governing authority is IRC §861(a)(3) (US-source wages), IRC §862(a)(3) (foreign-source wages), Treas. Reg. §1.861-4 (allocation of compensation), and IRS Notice 2005-5 (stock option sourcing for mobile employees).

Core Rule: NSO income at exercise is sourced based on where services were performed during the period from grant to vest — NOT where the employee lives at the time of exercise, and NOT where the stock is issued. The rationale: compensation earned by rendering services over the vesting period follows the geography of those services.

Grant-to-Vest Sourcing Formula

US-Source NSO Income = Total Spread at Exercise × (US Work days in Grant-to-Vest Period ÷ Total Workdays in Grant-to-Vest Period)

Illustrated Example — Scenario A: NSO granted January 1, 2022; vests January 1, 2025 (3-year cliff). Employee works entirely in India Jan 1, 2022 to Sep 28, 2025; moves to US on Sep 29, 2025. NSO exercised Dec 31, 2025. Total spread = \$100,000.

Item Total grant-to-vest period	Calculation Jan 1, 2022 → Jan 1, 2025	Amount
US workdays in grant-to-vest period	Arrived Sep 29, 2025 — after vest date of Jan 1, 2025	1,096 days
US-source fraction	0 ÷ 1,096	0 days
US-source NSO income (NRA)	\$100,000 × 0%	0%
		\$0 — 100% foreign source; not taxable for NRA

Illustrated Example — Scenario B: NSO granted January 1, 2023; vests January 1, 2026. Employee in India until Sep 28, 2025; moves to US Sep 29, 2025. Exercised Dec 31, 2025 as NRA (< 183 days in US). Total spread = \$100,000.

Item Total grant-to-vest period	Calculation Jan 1, 2023 →	Amount
US workdays in grant-to-vest period	Jan 1, 2026	1,096 days
Foreign workdays (India)	Sep 29 - Dec 31, 2025	~94 days
US-source fraction	Jan 1, 2023 - Sep 28, 2025	~1,002 days
US-source NSO income taxable in US	94 ÷ 1,096	8.58%
Foreign-source — excluded for NRA	\$100,000 × 8.58%	\$8,580
	\$100,000 × 91.42%	\$91,420 — not subject to US tax

E. Residency Status at Time of Exercise – The Second Layer

Once the US-source fraction is determined using the grant-to-vest method, the employee's residency status at the time of exercise determines how much of that US-source income is actually taxed in the US.

Residency at Exercise	Income Subject to US Tax Only the	Filing Form	Key Consideration
NRA (not met SPT, no green card)	US-source fraction (grant-to-vest allocation)	Form 1040-NR	Foreign-source fraction fully excluded; employer W-2 must reflect proper sourcing
Dual-status (arrived mid-year)	US-source fraction of pre-arrival NSOs; full spread for NSOs granted and vested entirely post-arrival	Dual-status 1040 + 1040-NR attachment Form 1040	Separate analysis needed per grant cohort
US resident (SPT or green card)	Entire spread – 100% – regardless of where services were rendered		Foreign Tax Credit available for home country tax on foreign-source portion

F. When the Employee Becomes a US Resident in a Subsequent Year

This is the most critical planning issue for Indian professionals who receive NSOs pre-immigration and exercise them after becoming US residents. Once an individual becomes a US resident (by SPT or green card), they are taxed on worldwide income – the grant-to-vest exclusion of foreign-source gains is no longer available.

Scenario	Residency at Exercise	US Tax Treatment	FTC Available?
NSO granted India, vested India, exercised as NRA	NRA	Only US-source fraction taxable (may be 0%)	Yes – for Indian perquisite tax on US-source fraction
NSO granted India, vested India, exercised as US resident	US Resident	100% of spread is ordinary income on Form 1040 – worldwide	Yes – FTC (Form 1116) for Indian perquisite tax on foreign-source portion
NSO partially vested in US, exercised as US resident	US Resident	100% of spread – but FTC offsets Indian tax on pre-US portion	Yes – general limitation basket
ISO exercised as US resident – qualifying disposition	US Resident	No income at exercise (AMT preference only); LTCG on full gain at qualifying sale	AMT credit carryforward on Form 8801
ISO exercised as US resident – disqualifying disposition	US Resident	Ordinary income on spread (W-2); LTCG/STCG on any excess	Yes – if India also taxed the same income

- Key planning point: If a client holds unexercised NSOs with large unrealized spreads, strongly consider exercising before becoming a US resident. As an NRA, only the US-source fraction

(potentially a small percentage) is taxable. Once the client crosses the residency threshold, the entire spread becomes taxable.

- ISO restriction: ISOs are forfeited (or convert to NSOs) if not exercised within 90 days of employment termination. This post-termination 90-day window creates urgency in immigration planning — if the employee leaves the Indian employer, the ISO clock starts immediately.
- India perquisite tax: Under Indian income tax law, NSO/ESOP income is taxable as a perquisite (salary income) at the time of exercise. FMV is the closing price on recognized stock exchanges for listed companies, or a merchant banker valuation for unlisted companies. This Indian tax is creditable on Form 1116 by US resident employees.

G. Employer Reporting Obligations

- NSOs: Employer includes ordinary income in W-2 Box 1, Box 12 Code V. Subject to FICA withholding on the US-source portion only for NRA employees.
- Common employer error: Reporting 100% of NSO income on W-2 without the grant-to-vest sourcing split — over-states US taxable income and triggers over-withholding. Correction requires W-2c.
- ISOs: Employer must file Form 3921 (Exercise of Incentive Stock Option) for each ISO exercise, due January 31 of the year following exercise. Penalty = \$250 per form for failure to file. ESPP: Form 3922 required for Employee Stock Purchase Plan transfers. Same deadline and penalty structure.
- Disqualifying ISO dispositions: Employer must add ordinary income to W-2 in the year of the disqualifying sale — even if exercise occurred in a prior year. Coordination between payroll and equity administration teams is essential.

H. Practical Compliance Checklist

Action Item	Why It Matters
Obtain complete grant schedule (grant dates, exercise prices, vesting dates, share counts)	Foundation for grant-to-vest sourcing calculation
Obtain workday log for entire grant-to-vest period	Establishes numerator (US days) and denominator (total days) for source allocation
Confirm employee's residency status in year of exercise	Determines NRA sourcing rules vs. worldwide income inclusion
Verify employer W-2 sourcing — has grant-to-vest allocation been applied?	Employers frequently report 100% US-source; incorrect W-2 may need W-2c
Compute Indian perquisite tax (Form 16 / ITR)	Required to determine creditable foreign tax on Form 1116
Confirm ISO holding period dates (grant date, exercise date, sale date)	Establishes qualifying vs. disqualifying disposition treatment
Calculate AMT exposure for ISO exercises on Form 6251	ISO spread is AMT preference item — can create large AMT liability with no cash income
Check \$100K ISO limit for the exercise year	ISOs with FMV > \$100K exercisable in any year must be treated as NSOs for the excess
File Form 3921 (ISOs) or Form 3922 (ESPPs) as employer	Statutory employer obligation — \$250/form penalty for non-filing



Pre-Immigration Planning — Key Recommendations

Exercise NSOs before US residency commencement: As an NRA, only the US-source fraction (often a small percentage if most vesting services were rendered abroad) is taxable. After crossing the residency threshold, the entire spread is worldwide taxable income. ISO timing: Ensure ISOs have sufficient time remaining before the 90-day post-termination window expires.

Consider whether to exercise ISOs before leaving the Indian employer to lock in ISO status.

Document everything: Workday logs, employer grant certificates, India Form 16 or ITR showing perquisite tax paid — all are required for proper FTC claims and grant-to-vest sourcing defense.

FTC planning: Indian perquisite tax on NSO income is creditable on Form 1116 against US tax. Ensure timing aligns — Indian tax must be paid in the same US tax year as the corresponding US taxable income is recognized.

TrueLedger Consulting — 2025 Tax Season FAQ Reference

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This document is for practitioner reference only. It does not constitute legal advice and must not be submitted to the IRS or any court of law. Tax laws are subject to change; practitioners should verify applicable law at the time of filing. Prepared by Manish Aggarwal, TrueLedger Consulting Inc.



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